April 22, 2026

UltraTech Cement

NSE: ULTRACEMCO | BSE: 532538

Sector: Construction Materials - Cement | Country: India

About The Company

UltraTech Cement Limited, the flagship cement business of the Aditya Birla Group, is India's largest and the world's third-largest cement company outside of China. The company manufactures and sells cement, ready-mix concrete (RMC), and white cement under the UltraTech brand. UltraTech commands a 28% share of India's grey cement installed capacity. The company operates 34 integrated units, 30 grinding units, and 9 bulk terminals, with a network of over 145,000 channel partners covering more than 80% of India. [1]

Analyst Rating

At the time of writing, UltraTech Cement trades at **₹ 12,039** per share. Based on our DCF analysis, we estimate an intrinsic value of **₹ 4,633** per share, implying a **61.5% downside** from current levels. This signals that the market is pricing UltraTech at a significant premium to its fundamental worth, and we accordingly issue a **HOLD** rating.

Key Assumptions

The overvaluation, however, is not irrational it is a direct function of the market pricing in UltraTech's exceptional **competitive moat and capital deployment track record**. The company's unassailable position as India's largest cement producer, commanding a 28% market share, a 145,000+ channel partner network, and 200+ MTPA installed capacity — commands a structural premium that pure DCF arithmetic struggles to fully capture. [1]

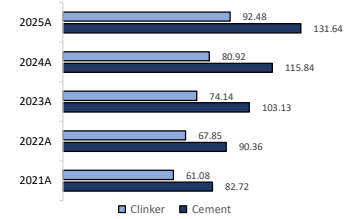
Furthermore, UltraTech's aggressive reinvestment cycle, including the ₹ 10,262 Cr India Cements acquisition, ₹ 9,129 Cr in FY25 capex, and a committed ₹ 16,000 Cr expansion plan toward 240 MTPA has suppressed near-term free cash flows and inflated the asset base. This investment-heavy phase compresses current EBITDA/tonne to ~₹ 961 versus a historical peak of ₹ 1,300+, making the stock appear expensive on today's earnings. The market is effectively paying today for the earnings power of FY28–FY30, once integration matures and margins normalise. [1]

Exhibit 1: Scale & Network [1]

Particulars	
Installed capacity in India (MTPA)	200+ MTPA
Global Capacity	205.5 MTPA
Production (MMT)	34
Grinding Units	35
Bulk Terminals	10
Channel Partner Network	1,45,000
India Market Coverage	80%
Grey Cement Market Share	26.2%

MTPA – Million Metric Tonnes Per Annum

Figure 1: Operational Production (MMT)



MMT - Million Metric Tonnes

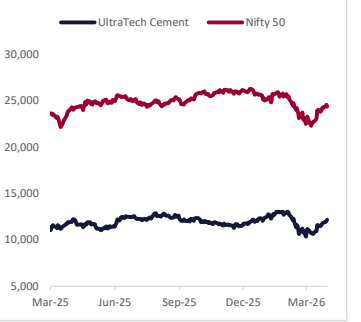
Cement production has grown at a **~12.3% CAGR over FY21–FY25**, reflecting both organic capacity additions and inorganic growth through the India Cements and Kesoram acquisitions. The clinker conversion factor stood at an efficient **1.49x** as of Q3 FY26, reflecting improved blended cement ratios and operational discipline. [2]

Capacity utilisation improved from **72% in Q3 FY25 to 77% in Q3 FY26**, signalling healthy absorption of newly added capacity. With the commissioning of 8.7 MTPA across three new grinding units in April 2026, total installed capacity now stands at **200.1 MTPA domestically**, with the next target set at 240 MTPA by FY27. [5]

Stock Data (As on April 22, 2026)	
Nifty	24,378.1
CMP	₹ 12,039
52-week High/Low	₹ 13,110/10,325
Market Cap (₹ Cr.)	₹ 3,59,505
Outstanding Shares (Cr.)	29.5
Div yield (%)	0.64%
P/E Ratio	46.3x
EPS (FY25 A)	₹ 191.5
EPS (FY26 E)	₹ 252.6

Recommendation (As on April 22, 2026)	
Rating	**HOLD**
Last Price	₹ 12,039
Target Price	₹ 13,500
Implied Upside	**12.1%**

Stock Performance



	3M	1Y
Absolute Return	0.05%	0.02%

Shareholding Pattern (As on April 22, 2026)	
Promoters	59.33%
FII + DII	32.03%
Others	8.63%

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Recent Financial Performance

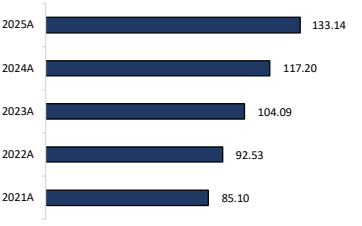
Q3 FY26 Results (Quarter Ended December 31, 2025 | Announced January 24, 2026)

UltraTech's consolidated net sales came in at ₹21,506 crore versus ₹ 17,555 crore in the same period of the previous year, registering a growth of ~22.5%. Profit before interest, and tax (EBIT) stood at ₹ 2,644 crore compared to ₹ 1,902 crore in Q3 FY25. Normalised profit after tax was ₹ 1,725 crore compared to ₹ 1,359 crore, reflecting a strong year-on-year recovery in profitability. [2]

Exhibit 2: Q3 Results and Quarterly Comparison [2]

Fiscal Period	Dec-25	Sep-25	QoQ Comp	Dec-24	YoY Comp
Revenue	₹ 21,506	₹ 19,371	*11.0%*	₹ 17,555	*22.5%*
Operating Income	2,644	1,048	*152.4%*	1,902	*39.0%*
PAT	1,725	703	*145.5%*	1,359	*26.9%*
Diluted EPS	61	24	*155.0%*	46	*31.9%*

Figure 2: Sales Volume - Grey Cement (MMT)



MMT - Million Metric Tonnes

Key Operational Highlights (Q3 FY26)

Overall capacity utilisation stood at 77% for the quarter, compared to 72% during the same period last year. UltraTech achieved a growth of 29.4% in domestic grey cement markets, excluding the sales volumes of India Cements and Kesoram, as these entities were not part of the company for the entire corresponding period.

Operating EBITDA per tonne improved to ₹ 1,051 (excluding India Cements), up from ₹ 911/MT in the year-ago period. This improvement was driven by cost efficiencies across energy and logistics.

In Q3 FY26, power and fuel costs per tonne dropped 15% year-on-year, aided by renewable energy source accounting for 42.1% of total power use. Freight and forwarding costs also fell 7% year-on-year due to better distribution and shorter lead distances. [2]

Industry Outlook

India Cement Demand Drivers

India's cement industry is structurally underpinned by one of the world's most durable demand backdrops: [3]

Government Infrastructure: The PM Gati Shakti Master Plan, Smart Cities Mission, PMAY (Pradhan Mantri Awas Yojana), dedicated freight corridors, highways, metro rail networks, and new-age infrastructure such as data centres and renewable energy parks are driving cement demand in the medium to long term.

Real Estate Recovery: Urban housing demand continues to grow with increasing urbanisation, nuclear family formation, and government push for affordable housing.

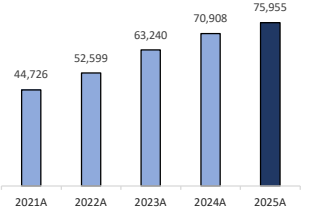
New-Age Segments: Data centres and renewable energy infrastructure are emerging as meaningful incremental demand verticals, UltraTech cited these explicitly in its Q3 FY26 earnings call. [6]

Industry-Level Demand and Pricing

The cement industry saw low-double-digit YoY volume growth in FY26, supported by the GST rate cut on cement from 28% to 18% effective September 22, 2025 — a structural positive that eased end-consumer affordability. [3]

Cement prices have remained largely stable at **₹ 335–340 per bag** *(50 kg)* through the March 2026 quarter.

Figure 3: Net Revenue (₹ in Cr.)



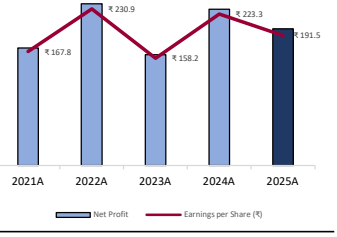
Financial Analysis

Revenue has compounded at a ~9.6% CAGR over FY23–FY25, with FY26E projecting accelerated 16.3% growth driven by volume expansion from the India Cements and Kesoram acquisitions.

Exhibit 3: Financial Summary [4]

Fiscal Period	FY23 A	FY24 A	FY25 A	FY26 E	FY27 E	FY28 E
Revenue	₹ 63,240	₹ 70,908	₹ 75,955	₹ 88,298	₹ 98,938	₹ 1,10,039
% Growth	*20.2%*	*12.1%*	*7.1%*	*16.3%*	*12.1%*	*11.2%*
EBITDA	10,620	12,979	12,797	15,993	17,920	19,931
% Margin	*16.8%*	*18.3%*	*16.8%*	*18.1%*	*18.1%*	*18.1%*
EBITDA/Tonne	*1020*	*1107*	*961*	*1057*	*1043*	*1021*
% Margin	*1.6%*	*1.6%*	*1.3%*	*1.2%*	*1.1%*	*0.9%*
EBIT	7,732	9,833	8,782	11,326	12,690	14,114
% Margin	*12.2%*	*13.9%*	*11.6%*	*12.8%*	*12.8%*	*12.8%*
PAT	₹ 4,566	₹ 6,447	₹ 5,643	₹ 7,443	₹ 8,340	₹ 9,276
% Margin	*7.2%*	*9.1%*	*7.4%*	*8.4%*	*8.4%*	*8.4%*
EPS	₹ 154.9	₹ 218.8	₹ 191.5	₹ 252.6	₹ 283.0	₹ 314.8
% Growth	*-31.5%*	*41.2%*	*-12.5%*	*31.9%*	*12.1%*	*11.2%*

Figure 4:PAT (₹ in Cr.) - Earnings per Share (₹)



EBITDA margins have remain stable ~16.8% from FY23 to FY25, primarily due to elevated fuel costs (petcoke/coal spike post-COVID) and the drag from newly acquired India Cements and Kesoram operations. Margin recovery toward 18.1% in FY26E is expected as integration matures and renewable energy penetration rises.

Exhibit 4: Key Ratios [4]

Fiscal Period	FY23 A	FY24 A	FY25 A
ROE	*13.2%*	*8.4%*	*8.0%*
ROA	*8.0%*	*5.0%*	*4.2%*
ROCE	*10.0%*	*6.5%*	*5.3%*
Debt-to-Equity	0.2x	0.2x	0.3x
Interest Coverage	8.4x	9.2x	4.3x
Current Ratio	1.7x	1.6x	1.3x
Asset Turnover	0.7x	0.7x	0.6x

Figure 5: Return on Equity (%)

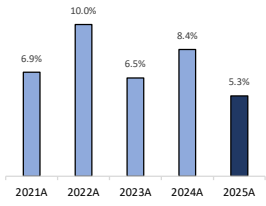
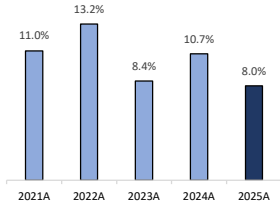


Figure 6: Return on Equity (%)



Valuation

DCF Analysis

The DCF analysis assumes a **WACC of 12.05%** (*Cost of Equity: 13.86%, after-tax Cost of Debt: 4.79%, at a 20% debt-to-total capitalisation*), with revenues compounding at a **9.3% CAGR through FY30E**, terminal EBITDA margins stabilising at **18.1%**, D&A at **5.3% of revenue**, capex tapering from **₹ 7,988 Cr in FY26E to ₹ 6,405 Cr by FY30E**, and a terminal value derived using a **10x EBITDA exit multiple** implying a **5% perpetuity growth rate**.

Exhibit 5: DCF Model Analysis

UltraTech Cement Ltd (NSE: ULTRACEMCO)
Discounted Cash Flow Analysis (DCF)
(Figures are in ₹ Cr, fiscal year ending March 31)

Valuation Method: EBITDA Multiple
Operating Scenario: Base

		Historical Period			CAGR	Projection Period					CAGR
Opearting Scenario	1										
Mid-Year Convention	Y										
Multiple Method	Y	2023A	2024A	2025A	('23-'25)	2026E	2027E	2028E	2029E	2030E	('26-'30)
Revenue		₹ 63,240	₹ 70,908	₹ 75,955	*9.6%*	₹ *88,298*	₹ 98,938	₹ 1,10,039	₹ 1,19,095	₹ 1,25,895	*9.3%*
% Growth		*20.2%*	*12.1%*	*7.1%*		*16.3%*	*12.1%*	*11.2%*	*8.2%*	*5.7%*	
Cost of Goods Sold		35,302	38,136	41,217		46,798	52,437	58,320	63,120	66,724	
% Margin		*55.8%*	*53.8%*	*54.3%*		*53.0%*	*53.0%*	*53.0%*	*53.0%*	*53.0%*	
Gross Margin		27,938	32,772	34,738	*11.5%*	41,500	46,501	51,718	55,975	59,171	*9.3%*
% Margin		*79.1%*	*85.9%*	*84.3%*		*84.3%*	*84.3%*	*84.3%*	*84.3%*	*84.3%*	
Selling, General & Administration		17,318	19,793	21,942		25,507	28,581	31,787	34,403	36,368	
% Margin		*27.4%*	*27.9%*	*28.9%*		28.9%	*28.9%*	*28.9%*	*28.9%*	*28.9%*	
EBITDA		10,620	12,979	12,797	*9.8%*	15,993	17,920	19,931	21,571	22,803	*9.3%*
% Margin		*16.8%*	*18.3%*	*16.8%*		18.1%	*18.1%*	*18.1%*	*18.1%*	*18.1%*	
Depreciation & Amortisation		2,888	3,145	4,015		4,667	5,230	5,817	6,295	6,655	
% Margin		*4.6%*	*4.4%*	*5.3%*		5.3%	*5.3%*	*5.3%*	*5.3%*	*5.3%*	
EBIT		7,732	9,833	8,782	*6.6%*	11,326	12,690	14,114	15,276	16,148	*9.3%*
% Margin		*12.2%*	*13.9%*	*11.6%*		*12.8%*	*12.8%*	*12.8%*	*12.8%*	*12.8%*	
Interest Expense		*823*	*968*	*1,651*		1,919	2,150	2,391	2,588	2,736	
% Margin		*1.3%*	*1.4%*	*2.2%*		2.2%	*2.2%*	*2.2%*	*2.2%*	*2.2%*	
Profit Before Taxes		6,909	8,865	7,131	*1.6%*	9,407	10,540	11,723	12,688	13,412	*9.3%*
% Margin		*10.9%*	*12.5%*	*9.4%*		10.7%	*10.7%*	*10.7%*	*10.7%*	*10.7%*	
Taxes		2,343	2,418	1,488		1,963	2,200	2,447	2,648	2,799	
% Effective Tax Rate		*33.9%*	*27.3%*	*20.9%*		20.9%	*20.9%*	*20.9%*	*20.9%*	*20.9%*	
Net Profit		₹ 4,566	₹ 6,447	₹ 5,643	*11.2%*	₹ 7,443	₹ 8,340	₹ 9,276	₹ 10,040	₹ 10,613	*9.3%*
Add: Depreciation & Amortisation		2,888	3,145	4,015		4,667	5,230	5,817	6,295	6,655	
Less: Capital Expenditure		(6,200)	(9,006)	(9,129)		(7,988)	(7,189)	(6,470)	(5,823)	(6,405)	
Inc/Dec in Net Working Capital		-	(751)	(2,256)		(1,365)	(989)	(1,032)	(842)	(632)	
Unlevered Free Cash Flow						₹ 2,758	₹ 5,392	₹ 7,591	₹ 9,670	₹ 10,230	
WACC	12.05%										
Discount Period						0.5	1.5	2.5	3.5	4.5	
Discount Factor						0.94	0.84	0.75	0.67	0.60	
Present Value of Free Cash Flow						₹ 2,606	₹ 4,546	₹ 5,712	₹ 6,494	₹ 6,131	

Enterprise Value	
Cumulative Present Value of FCF	₹ 25,488
Terminal Value	
Terminal Value EBITDA (2030E)	₹ 22,803
Exit Multiple	10.0x
Terminal Value	₹ 2,28,028
Discount Factor	59.93%
Present Value of Terminal Value	₹ 1,36,664
% of Enterprise Value	*84.3%*
Enterprise Value	₹ 1,62,152

Implied Equity Value and Share Price	
Enterprise Value	₹ 1,62,152
Less: Total Debt	(24,102)
Less: Preferred Stock	-
Less: Noncontrolling Interest	(3,187)
Plus: Cash & Cash Equivalents	1,673
Implied Equity Value	₹ 1,36,536
Fully Diluted Shares Outstanding	29.5
Implied Share Price	₹ 4,633

Implied Perpetuity Growth Rate	
Treminal Year Free Cash Flow (2030E)	₹ 10,230
WACC	12.05%
Terminal Value	₹ 2,28,028
Implied Perpetuity Growth Rate	5.1%

Implied EV/EBITDA	
Enterprise Value	$ 1,62,152
03/31/2025 EBITDA	$ 12,797
Implied EV/EBITDA	12.7x

Sensitivity Analysis

Even the most optimistic DCF scenario (12x exit, 11.5% WACC) yields **₹ 5,697 — a 53% discount to CMP of ₹ 12,039.** This is the central tension of the UltraTech story: the market is clearly embedding a longer-duration, higher-normalised-margin scenario than what the current financial model supports.

Implied Perpetuity Growth Rate at current CMP and WACC: The terminal value at a 10x EBITDA exit is ₹ 2,28,028 Cr, implying a **perpetuity growth rate of ~5%** — aggressive but not impossible given India's infrastructure tailwinds over a 10+ year horizon.

Exhibit 6: Sensitivity Analysis

Enterprise Value (Perpetuity Growth Rate - Discount Factor)

Terminal Growth Rate	Discount Fator 11.50%	12.00%	12.50%	13.00%	13.50%
3.00%	1,01,802	95,824	90,480	85,675	81,332
4.00%	1,12,765	1,05,380	98,869	93,086	87,916
5.00%	1,27,101	1,17,667	**1,09,495**	1,02,349	96,048
6.00%	1,46,651	1,34,048	1,23,390	1,14,259	1,06,350
7.00%	1,74,889	1,56,983	1,42,338	1,30,139	1,19,821

Enterprise Value (EBITDA Multiple - Discount Factor)

EBITDA Multiple	Discount Factor 11.50%	12.00%	12.50%	13.00%	13.50%
8.0x	1,12,006	1,09,450	1,06,954	1,04,517	1,02,137
9.0x	1,25,978	1,23,143	1,20,375	1,17,673	1,15,034
10.0x	1,39,950	1,36,836	**1,33,797**	1,30,830	1,27,932
11.0x	1,53,921	1,50,530	1,47,218	1,43,986	1,40,829
12.0x	1,67,893	1,64,223	1,60,640	1,57,142	1,53,727

Equity Value (Perpetuity Growth Rate - Discount Factor)

Terminal Growth Rate	Discount Fator 11.50%	12.00%	12.50%	13.00%	13.50%
3.00%	76,186	70,208	64,864	60,059	55,716
4.00%	87,149	79,764	73,253	67,470	62,300
5.00%	1,01,486	92,051	**83,879**	76,733	70,433
6.00%	1,21,035	1,08,432	97,774	88,643	80,734
7.00%	1,49,273	1,31,367	1,16,722	1,04,523	94,205

Equity Value (EBITDA Multiple - Discount Factor)

EBITDA Multiple	Discount Factor 11.50%	12.00%	12.50%	13.00%	13.50%
8.0x	1,12,006	1,09,450	1,06,954	1,04,517	1,02,137
9.0x	1,25,978	1,23,143	1,20,375	1,17,673	1,15,034
10.0x	1,39,950	1,36,836	**1,33,797**	1,30,830	1,27,932
11.0x	1,53,921	1,50,530	1,47,218	1,43,986	1,40,829
12.0x	1,67,893	1,64,223	1,60,640	1,57,142	1,53,727

Implied Share Price (Perpetuity Growth Rate - Discount Factor)

Terminal Growth Rate	Discount Fator 11.50%	12.00%	12.50%	13.00%	13.50%
3.00%	₹ 2,585	₹ 2,382	₹ 2,201	₹ 2,038	₹ 1,891
4.00%	₹ 2,957	₹ 2,707	₹ 2,486	₹ 2,289	₹ 2,114
5.00%	₹ 3,444	₹ 3,124	**₹ 2,846**	₹ 2,604	₹ 2,390
6.00%	₹ 4,107	₹ 3,679	₹ 3,318	₹ 3,008	₹ 2,740
7.00%	₹ 5,065	₹ 4,458	₹ 3,961	₹ 3,547	₹ 3,197

Implied Share Price (EBITDA Multiple - Discount Factor)

EBITDA Multiple	Discount Factor 11.50%	12.00%	12.50%	13.00%	13.50%
8.0x	₹ 3,801	₹ 3,714	₹ 3,629	₹ 3,547	₹ 3,466
9.0x	₹ 4,275	₹ 4,179	₹ 4,085	₹ 3,993	₹ 3,903
10.0x	₹ 4,749	₹ 4,643	**₹ 4,540**	₹ 4,439	₹ 4,341
11.0x	₹ 5,223	₹ 5,108	₹ 4,996	₹ 4,886	₹ 4,779
12.0x	₹ 5,697	₹ 5,573	₹ 5,451	₹ 5,332	₹ 5,216

Public Comparables (Trading Comps)

Across all three multiples — **EV/Revenue (mean: 2.9x), EV/EBITDA (mean: 14.4x), and P/E (mean: 42.0x)** — UltraTech at 5.0x, 29.6x, and 62.9x respectively trades at a **significant premium to every peer**, with implied share prices of ₹ 6,613, ₹ 5,429, and ₹ 7,229 — all well below the CMP of ₹ 12,039, confirming an **overvalued** position on a pure peer-relative basis.

Exhibit 7: Public Comparables

UltraTech Cement Ltd (NSE: ULTRACEMCO)

Comparable Company Analysis

(Figures are in ₹ Cr, except price per share)

Comparable Company Analysis - UltraTech Cement Ltd.

	Market Data					Financials			Valuation		
Company [1]	Current Price	Shares Outstanding	Equity Value	Net Debt	Enterprise Value	Revenue	EBITDA	Net Profit	Enterprise Value/ Revenue	Enterprise Value/ EBITDA	Price/ EPS
UltraTech Cement Ltd.	₹ 12,039.0	29.5	3,54,934	24,102	3,79,036	75,955	12,797	5,643	5.0x	29.6x	62.9x
Ambuja Cements	₹ 456.3	248.5	1,13,470	1,271	1,14,740	39,721	8,135	3,842	2.9x	14.1x	29.5x
Shree Cement	25,540.0	3.6	92,253	2,142	94,395	20,374	5,400	1,792	4.6x	17.5x	51.4x
J K Cements	5,920.5	7.7	45,817	6,510	52,327	13,416	2,656	1,051	3.9x	19.7x	43.6x
Dalmia Bharat Ltd	1,990.0	18.8	37,370	7,082	44,452	14,650	3,244	1,196	3.0x	13.7x	31.2x
ACC	1,438.0	18.8	26,990	485	27,475	24,689	3,704	2,516	1.1x	7.4x	10.7x
The Ramco Cement	1,003.6	23.6	23,670	4,699	28,369	8,816	1,427	188	3.2x	19.9x	126.3x
Nuvoco Vistas	304.8	1.8	10,890	4,916	15,806	11,338	1,881	390	1.4x	8.4x	1.4x
Mean									**2.9x**	**14.4x**	**42.0x**
Median									**3.0x**	**14.1x**	**31.2x**
Maximum									**4.6x**	**19.9x**	**126.3x**
Minimum									**1.1x**	**7.4x**	**1.4x**

UltraTech Cement Ltd. Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	2,18,980	1,84,087	2,37,130
Net Debt	24,102	24,102	24,102
Implied Equity Value	1,94,878	1,59,985	2,13,028
Diluted Shares Outstanding	29.5	29.5	29.5
Implied Share Price	**₹ 6,613**	**₹ 5,429**	**₹ 7,229**
Discount/Premium	Overvalued	Overvalued	Overvalued

Exhibit 8: Weighted Average Cost of Capital

UltraTech Cement Ltd (NSE: ULTRACEMCO)
Weighted Average Cost of Capital
(Figures are in ₹ Cr, except price per share)

WACC Calculation	
Target Capital Structure	
Debt-to-Total Capitalization	20.00%
Equity-to-Total Capitalization	80.00%
Cost of Debt	
Cost of Debt [2]	6.85%
Tax Rate	30.00%
After-Tax Cost of Debt	**4.79%**
Cost of Equity	
Risk Free Rate [3]	6.89%
Market Risk Premium [4]	4.15%
Levered Beta	0.99
Country Risk Premium [5]	2.85%
Cost of Equity	**13.86%**
WACC	**12.05%**

Comparable Companies Unlevered Beta

Company	Predicted Levered Beta [1]	Market Value of Debt	Market Value of Equity	Debt/ Equity	Marginal Tax Rate	Unlevered Beta
Ambuja Cements	1.16	1,271	1,13,470	1.12%	30.00%	1.15
Shree Cement	0.67	2,142	92,253	2.32%	30.00%	0.66
J K Cements	1.04	6,510	45,817	14.21%	30.00%	0.95
Dalmia Bharat Ltd	0.90	7,082	37,370	18.95%	30.00%	0.79
ACC	1.12	485	26,990	1.80%	30.00%	1.11
The Ramco Cement	0.76	4,699	23,670	19.85%	30.00%	0.67
Nuvoco Vistas	0.78	4,916	10,890	45.14%	30.00%	0.59
Mean	**0.92**			**14.8%**		**0.85**
Median	**0.90**			**14.2%**		**0.79**

UltraTech Cement Relevered Beta

	Mean UnLevered Beta	Target Debt/ Equity	Target Marginal Tax Rate	Relevered Beta
Relevered Beta	0.85	25.00%	30.00%	0.99

WACC Sensitivity Analysis

Debt to Total Capitalization	Pre-Tax Cost of Debt 6.00%	6.50%	7.00%	7.50%	8.00%
10.00%	12.59%	12.62%	12.66%	12.69%	12.73%
15.00%	12.26%	12.31%	12.36%	12.42%	12.47%
20.00%	11.93%	12.00%	**12.07%**	12.14%	12.21%
25.00%	11.60%	11.69%	11.78%	11.86%	11.95%
30.00%	11.27%	11.38%	11.48%	11.59%	11.69%

(1) Sourced from MorningStar.com
(2) Average cost of debt across UltraTech Cement's capital structure
(3) Interpolated yield on 10-year India Govt Yield, sourced from tradingeconomics.com
(4), (5) Sourced from Aswath Damodaran

Recommendation & Conclusion

Rating: HOLD | Target Price: ₹13,500 | Upside: ~12%

UltraTech Cement is India's finest cement franchise, a business with structurally durable competitive advantages, a visionary management team, and a clear roadmap to becoming the world's largest cement company outside China. The 200 MTPA milestone, accelerated India Cements integration, and India's infrastructure-led demand outlook are all genuinely compelling.

However, at ₹ 12,039, the stock prices in a significant portion of these positives already. Every intrinsic valuation framework — DCF across scenarios (₹ 4,633 base) and peer comparables (₹ 5,429–7,229 mean-implied), suggests meaningful overvaluation relative to current financial fundamentals. The premium is sustained by the market's long-duration faith in India's infrastructure story and UltraTech's irreplaceable position within it.

For existing investors with a 3–5 year horizon: Hold. The 240 MTPA roadmap, EBITDA/tonne normalisation toward ₹ 1,300+, and India Cements value unlock make UltraTech a core long-term compounder. A fair 2027–28 target of ₹16,000–18,000 represents a credible multi-year return.

For new investors: Wait for a better entry point. The upcoming Q4 FY26 results and concall (April 27, 2026), along with Q1 FY27 margin data (which will reflect petcoke cost headwinds), may provide a more attractive entry. A pullback toward ₹ 10,325–10,800 (52-week low zone) would meaningfully improve the risk/reward and present a compelling accumulation opportunity.

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(5) Angel One — UltraTech Cement Share Price in Focus; Crosses 200 MTPA Capacity, Targets 240 MTPA, April 17, 2026.

(6) UltraTech Cement Limited — Q3 FY26 Earnings Call Transcript, January 24, 2026.

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